

TABLE 6.28 **Results 2008**

	US\$	Percentage
Starting NAV	21,550,738	215.51
Trading result	29,484,929	136.80
Interest income	403,937	1.90
Management fee	756,564	3.50
Performance fee	4,369,845	20.30
Net result	24,762,456	114.90
Ending NAV	46,313,195	463.10

Well, the world almost went under, millions of average people lost all their savings, hundreds of thousands lost their homes, but at least you got paid five million and change and profited nicely from the whole situation.

■ 2009

If your investors were getting worried about your performance and considered pulling their money from you by December of 2007, after 2008, they would trust you to watch their kids over the weekend. I mentioned earlier that you will be compared to the stock markets, whether you like it or not. In a bull market, you won't like it, mostly because you'll probably fail to keep up. That's normal. Few things manage to keep up with stocks in a bull market. But in a bear market, you'll love being compared to the equity index.

After the spectacular bear market of 2008, we're still heavily short stocks of course (Tables 6.29 and 6.30, and Figure 6.44). It takes time to turn that ship around. We're also very much long rates, and that's also a bear market position. The bear market continued into the first part of 2009 and we were well positioned for it. By March, the stock markets are down over 20%, while we have a gain of 10%. Even as the markets recover from there, we handle it quite well and we only lost what we gained during the declines.

For much of the year, we continued in the plus or minus 5–10% range, and it was really quite uneventful until the second half of the year. If you look closely at Figure 6.45, you can see clearly how our exposure turned from mainly short equities to mainly long equities. You won't need to do any maths to notice how the correlation turns from negative to positive, and